

EVG1006 - Carlos & Maria Mendoza - 2025 Form 1040

CLIENT COPY - FINAL (signed off) - Tax Year 2025 - Prepared by Evergreen Tax (synthetic firm)

Taxpayer / Spouse	Carlos A. Mendoza (XXX-XX-5208) / Maria L. Mendoza (XXX-XX-6634)
Address	7318 Mesquite Bend, San Antonio, TX 78250
Filing status	Married filing jointly
Dependents	Sofia (daughter, 2013) - CTC; Mateo (son, 2017) - CTC; Rosa Mendoza (mother, 1955) - ODC (qualifying relative)
Schedule C	Mendoza Lawn & Landscape LLC, NAICS 561730, EIN 00-3381945, cash method; line I (payments requiring 1099) YES; line J (filed) YES - late 1099-NECs filed 09/18/2026
Digital assets question	No
Forms included	1040, Sch 1, Sch 2, Sch 3, Sch 8812, Sch C, Sch SE, Form 4562, Form 8995, de minimis election statement
Extension	Form 4868 filed 04/13/2026 with \$1,500 payment; return due 10/15/2026
State	None - Texas has no individual income tax
Filing method	E-file (Form 8879 signed 09/25/2026); refund by direct deposit Frost ****4410

Key figures	Amount
Total income (1040 line 9)	113,597
Adjusted gross income (line 11)	91,743
Deduction (line 12e) - Standard	31,500
QBI deduction (line 13a)	12,049
Schedule 1-A deductions (line 13b)	0
Taxable income (line 15)	48,194
Total tax (line 24)	12,276
Total payments (line 33)	12,880
REFUND (line 35a)	604

Form 1040

Line	Description	Amount
1a	Total amount from Form(s) W-2, box 1	29,360
1b	Household employee wages not reported on Form(s) W-2	0
1c	Tip income not reported on line 1a (Form 4137)	0
1e	Taxable dependent care benefits (Form 2441, line 26)	0
1h	Other earned income	0
1z	Add lines 1a through 1h	29,360
2a	Tax-exempt interest	0
2b	Taxable interest	212
3a	Qualified dividends	0
3b	Ordinary dividends	0
4a	IRA distributions	0
4b	IRA distributions - taxable amount	0
5a	Pensions and annuities	0
5b	Pensions and annuities - taxable amount	0
6a	Social security benefits	0
6b	Social security benefits - taxable amount	0
7	Capital gain or (loss) (Schedule D)	0
8	Additional income from Schedule 1, line 10	84,025
9	Total income	113,597
10	Adjustments to income from Schedule 1, line 26	21,854
11	Adjusted gross income	91,743
12e	Standard deduction or itemized deductions (Standard)	31,500
13a	Qualified business income deduction (Form 8995/8995-A)	12,049
13b	Additional deductions from Schedule 1-A, line 38	0
14	Add lines 12e, 13a, and 13b	43,549
15	Taxable income	48,194
16	Tax	5,304
17	Amount from Schedule 2, line 3	0
18	Add lines 16 and 17	5,304
19	Child tax credit / credit for other dependents (Schedule 8812)	4,900
20	Amount from Schedule 3, line 8	0
21	Add lines 19 and 20	4,900
22	Subtract line 21 from line 18	404
23	Other taxes, including self-employment tax, from Schedule 2, line 21	11,872
24	Total tax	12,276
25a	Federal income tax withheld - Form(s) W-2	1,380
25b	Federal income tax withheld - Form(s) 1099	0
25c	Federal income tax withheld - other forms (incl. Form 8959 line 24)	0
25d	Total withholding	1,380
26	2025 estimated tax payments and amount applied from 2024 return	10,000
27a	Earned income credit (EIC)	0

Line	Description	Amount
28	Additional child tax credit (Schedule 8812)	0
29	American opportunity credit - refundable (Form 8863, line 8)	0
31	Amount from Schedule 3, line 15	1,500
32	Total other payments and refundable credits	1,500
33	Total payments	12,880
34	Amount overpaid	604
35a	Refund	604
37	Amount you owe	0
38	Estimated tax penalty (Form 2210)	0

Schedule B

Line	Description	Amount
1.1	Frost Bank	212
2	Total interest	212
4	Taxable interest (to Form 1040, line 2b)	212
6	Ordinary dividends (to Form 1040, line 3b)	0
7a	Foreign financial account at any time in 2025? / FBAR required?	No
8	Grantor of / transferor to a foreign trust?	No

Schedule 1

Line	Description	Amount
3	Business income or (loss) - Schedule C	84,025
10	Additional income (to Form 1040, line 8)	84,025
11	Educator expenses	300
15	Deductible part of self-employment tax (Schedule SE)	5,936
16	Self-employed SEP, SIMPLE, and qualified plans	15,618
26	Total adjustments to income (to Form 1040, line 10)	21,854

Form 8995

Line	Description	Amount
Mendoza Lawn & Landscaping, LLC	QBI-based deduction component (below threshold: 20% x QBI)	12,494
limit	20% x (taxable income before QBI 60,243 - net capital gain & qualified dividends 0)	12,049
deduction	Qualified business income deduction	12,049

Schedule 8812

Line	Description	Amount
4	Number of qualifying children under 17 with SSN	2
6	Number of other dependents	1
8	Tentative credit	4,900
10-11	Phase-out reduction (MAGI 91,743 vs 400,000)	0
12	Credit after phase-out	4,900

Line	Description	Amount
14	Nonrefundable CTC/ODC (to Form 1040 line 19)	4,900
27	Additional child tax credit (to Form 1040 line 28)	0

Schedule SE

Line	Description	Amount
T	Net earnings 77,597; SS 9,622; Medicare 2,250; half deductible 5,936	11,872

Schedule 2

Line	Description	Amount
4	Self-employment tax (Schedule SE)	11,872
21	Total other taxes (to Form 1040, line 23)	11,872

Schedule 3

Line	Description	Amount
10	Amount paid with request for extension to file (Form 4868)	1,500
15	Total other payments and refundable credits (to Form 1040, line 31)	1,500

Schedule C - Profit or Loss From Business (Mendoza Lawn & Landscape LLC)

Schedule C line	Description	Amount
1	Gross receipts (cash basis)	176,600
8	Advertising	1,480
9	Car and truck expenses (actual; 85% business of \$11,550)	9,818
11	Contract labor	12,500
13	Depreciation and section 179 (Form 4562)	11,592
15	Insurance (other than health)	3,150
17	Legal and professional services	1,450
18	Office expense	920
20a	Rent - vehicles, machinery, and equipment	1,350
20b	Rent - other business property	4,800
21	Repairs and maintenance	3,860
22	Supplies (landscape materials, small tools)	29,640
23	Taxes and licenses	385
24b	Deductible meals (50%)	1,570
25	Utilities (Carlos' business cell line)	570
27a	Other expenses (Part V)	9,490
28	Total expenses	92,575
31	Net profit	84,025

Schedule C Part V

Schedule C Part V - Other expenses	Amount
Equipment fuel (mowers/trimmers)	3,420
Dump / disposal fees	1,120
Merchant / card processing fees	1,690
Uniforms & safety gear	410
Business gifts (12 x \$25 limit)	300
Trade association dues (TNLA)	250
Small equipment - de minimis safe harbor (zero-turn mower)	2,300
Total (line 27a)	9,490

Book-to-tax reconciliation

Book-to-tax reconciliation (QuickBooks accrual -> Schedule C cash)	Amount
Net income per QuickBooks P&L (accrual)	80,839
Less: increase in accounts receivable (16,000 - 6,200) - accrual -> cash	(9,800)
Add back: country club dues (sec. 274(a)(3) - no deduction for club dues)	4,200
Add back: Netflix (personal)	276
Add back: kids' soccer registration (personal)	640
Add back: AT&T family plan - 3 of 4 lines personal (keep Carlos' line \$570)	1,710
Add back: health insurance - owner's family premiums are never a Sch C expense (see SE health worksheet)	14,400
Add back: 50% of meals (sec. 274(n))	1,570
Add back: business gifts over \$25 per recipient (12 x \$50)	600
Less: truck - 15% personal use of actual expenses	(1,732)
Less: tax depreciation (Form 4562) - books recorded none	(11,592)
Less: 1/3 of 2024 return prep fee paid 04/2025 from personal account (legal & professional)	(550)
Rounding	3,464
Schedule C line 31 net profit (cash basis)	84,025

Form 4562 detail

Form 4562 - Mendoza Lawn & Landscape LLC	Placed in service	Cost / basis	Bus. %	Method	2025 deduction
Part II - Special depreciation allowance: 2019 Big Tex 16ft trailer (used, acquired 03/22/2025 - after 01/19/2025), 5-yr	03/22/2025	6,500	100%	Bonus 100% (sec. 168(k) as amended by OBBBA)	6,500
Part V listed property: 2022 Ford F-250 (GVWR > 6,000 lb)	03/14/2022	52,000	85%	MACRS 200DB HY 5-yr, year 4 (11.52%)	5,092
2023 Exmark mower	04/03/2023	11,800	100%	Sec. 179 (2023) - fully expensed	0

Form 4562 - Mendoza Lawn & Landscape LLC	Placed in service	Cost / basis	Bus. %	Method	2025 deduction
Zero-turn mower \$2,300 - NOT on Form 4562 (de minimis safe harbor election - expensed on Sch C line 27a)	05/06/2025	2,300	100%	Reg. 1.263(a)-1(f)	0
Total Form 4562 line 22 (to Schedule C line 13)					11,592
Part V line 30-36: truck total miles 18,400; business 15,640; commuting 0 (home is principal place of business); other personal 2,760; written evidence: Yes					

Election statement

Section 1.263(a)-1(f) de minimis safe harbor election. Carlos A. Mendoza, SSN XXX-XX-5208, Mendoza Lawn & Landscape LLC, 7318 Mesquite Bend, San Antonio, TX 78250. The taxpayer is making the de minimis safe harbor election under Treas. Reg. sec. 1.263(a)-1(f) for the taxable year ending 12/31/2025. (Taxpayer has no applicable financial statement; amounts of \$2,500 or less per invoice/item are expensed on the books under the business's accounting procedure.)

SEP-IRA contribution computation

SEP-IRA maximum contribution worksheet (self-employed - Pub. 560 rate table / worksheet)	Amount
1. Schedule C net profit (line 31)	84,025
2. Deductible part of SE tax (Schedule 1 line 15)	5,936
3. Net earnings from self-employment for plan purposes (1 - 2)	78,089
4. Plan contribution rate 25% -> self-employed reduced rate 0.25 / 1.25 = 20%	20%
5. Maximum contribution (3 x 20%), limited to \$70,000 (2025) and \$350,000 comp. cap	15,618
6. Funded 09/22/2026 (before extended due date 10/15/2026) - Schwab confirmation in PBC	15,618
First draft used 25% x net profit = 21,006 - excess contribution of 5,388 avoided	

SE health insurance - not deductible

Self-employed health insurance (Form 7206) - eligibility	Result
Premiums paid (BCBS family PPO, Carlos + 2 children, 12 months)	14,400
Was Carlos eligible to participate in a subsidized health plan maintained by his spouse's employer (Mission Creek ISD - district pays \$450/mo toward every tier, spouse & family tiers offered) in any month?	Yes - all 12 months

Self-employed health insurance (Form 7206) - eligibility	Result
Sec. 162(l)(2)(B): no deduction for any month the self-employed person is eligible for a subsidized employer plan (own or spouse's), even if coverage is declined	Deduction \$0
Premiums -> Schedule A medical (see comparison; standard deduction larger)	14,400

Standard vs itemized comparison

Itemized vs standard (Schedule A not filed)	Amount
Medical: BCBS premiums 14,400 + out-of-pocket 2,860 = 17,260 less 7.5% of AGI 6,881	10,379
State & local: general sales tax (IRS table, TX + Bexar local 8.25%) + real estate tax 6,420 (no income tax in TX)	8,570
Home mortgage interest (Form 1098 - Lone Oak Mortgage)	8,640
Charitable - cash (St. Brigid Parish)	2,400
Total itemized	29,989
Standard deduction MFJ (OBBBA)	31,500
Result	Standard deduction

Dependent - qualifying relative worksheet

Qualifying relative test - Rosa Mendoza (mother of Carlos)	Result
Relationship: parent (need not live with taxpayer; she did all 12 months)	Met
Gross income test: < \$5,200 (2025). Social Security is excluded from gross income here because none of it is taxable (her only other income is \$85 interest; provisional income far below \$25,000)	Met - gross income \$85
Support test: total support \$19,800; Rosa's own funds used for her support ~\$6,300; Mendozas provided ~\$13,500 (68%)	Met
Not a qualifying child of anyone; US citizen; not filing a joint return	Met
Credit for other dependents (Schedule 8812)	500
Rosa's SSA-1099 and 1099-INT are HER documents - not reported on the Mendozas' return; Rosa has no filing requirement	